

In 1973, owner earnings (net income plus depreciation minus capital expenditures) were \$152 million. By 1980, owner earnings were \$262 million, an 8 percent annual compounded growth rate. From 1981 through 1988, owner earnings grew from \$262 million to \$828 million, a 17.8 percent average annual compounded growth rate.

The growth in owner earnings was reflected in the share price of Coca-Cola. This is particularly obvious if we look at 10-year periods. From 1973 to 1982, the total return of Coca-Cola grew at an average annual rate of 6.3 percent. The following 10 years, from 1983 to 1992, when Goizueta's management approach was clearly visible, the average annual total return for the stock was 31.1 percent.

Tenet: The Institutional Imperative

When Goizueta took over Coca-Cola, one of his first moves was to jettison the unrelated businesses that Paul Austin had developed, and return the company to its core business: selling syrup. It was a clear demonstration of Coca-Cola's ability to resist the institutional imperative.

Reducing the company to a single-product business was undeniably a bold move. What made Goizueta's strategy even more remarkable was his willingness to take action at a time when others in the industry were doing the exact opposite. Several leading beverage companies were investing their profits in other unrelated businesses. Anheuser-Busch used the profits from its beer business to invest in theme parks. Brown Forman, a producer and distributor of wine and spirits, invested its profits in china, crystal, silver, and luggage businesses, all of which had much lower returns. Seagram Company, Ltd., a global spirits and wine business, bought Universal Studios. Pepsi, Coca-Cola's chief beverage rival, bought snack businesses (Frito-Lay) and restaurants, including Taco Bell, Kentucky Fried Chicken, and Pizza Hut.

It is important to note that not only did Goizueta's action focus the company's attention on its largest and most important product, but it worked to reallocate the company's resources into its most profitable business. Because the economic returns of selling syrup far outweighed the